Notice of Motion

PLEASE TAKE NOTICE that the defendants, Mark Clauss, Christopher Drout and Suzy Lindblom, have filed the attached Motion of Mark Clauss, Christopher Drout and Suzy Lindblom to Dismiss Adversary Complaint and Brief in Support of Motion to Dismiss Adversary Complaint (together, the "Motion").

If you want the court to consider your views on the Motion, or want a hearing, you must file and serve a written objection no later than 14 days after the date of service of this notice (LR 9014-1(a)(2)(A)). An objection must be filed with the Clerk of the Bankruptcy Court and served on the movant.

Absent a timely filed objection, the court may grant the relief requested without a hearing (LR 9014-1(a)(2)(B)). If no objection is timely filed, the movant will file a proposed order as required by LR 9014-2. If a timely objection is filed, the court may schedule a hearing, and the Clerk will give notice of the hearing (LR 9014-1(a)(3)).

Dated: April 8, 2022

Respectfully submitted,

/s/ Christopher C. Drout

Gray & Associates, L.L.P.
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UNITED STATES BANKRUPTCY COURT
EASTERN DISTRICT OF WISCONSIN

In re: Dean Richard Vongermeten Debtor.	Case No. 21-25409-rmb Chapter 13

Dean Richard Vongermeten, Plaintiff, v. Suzy Lindblom COO, Terry Smith CEO, Alejandro Hoyos, Trustee, Christopher Drout, Mark Clauss, Michael Dimand, William Patacsil, Defendants.	Adversary Case No. 22-02024-rmb

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Motion of Mark Clauss, Christopher Drout and Suzy Lindblom to Dismiss Adversary Complaint

The defendants, Mark Clauss, Christopher Drout and Suzy Lindblom, through their attorneys, Gray & Associates, L.L.P., do hereby move the court pursuant to Federal Rule of Civil Procedure 12(b)(6), incorporated into Federal Rule of Bankruptcy Procedure 7012, for the dismissal of this adversary proceeding with prejudice. The defendants' motion is based upon the following:

1. The plaintiff fails to state a claim for which relief can be granted.
2. The plaintiff's claims are barred by binding precedent. The U.S. District Court for the Eastern District of Wisconsin and the United States Court of Appeals for the Seventh Circuit both decided the plaintiff's claims against Planet Home Lending, LLC and its attorneys, and dismissed them with prejudice. Specifically, the plaintiff commenced a separate federal civil action against the defendant and its counsel in the U.S. District Court for the Eastern District of Wisconsin making the same and/or similar claims as in this adversary proceeding. That action was dismissed with prejudice by the E.D. Wis. federal court, and the dismissal with prejudice was affirmed on appeal by the Seventh Circuit.

Copies of the federal court order and the court of appeals decision are attached hereto as Exhibits A and B and their contents are incorporated herein by reference.

3. The plaintiff's claims are barred by res judicata and the equitable doctrine of claim preclusion. The mortgage in question is subject to a state court foreclosure judgment. Defendant Planet Home Lending, LLC was awarded judgment of foreclosure on February 14, 2020. The plaintiff appealed the foreclosure judgment and later voluntarily dismissed the appeal. Application of the doctrine is warranted "to establish and fix the rights of individuals, to relieve parties of the costs and vexation of multiple lawsuits, to conserve judicial resources, to prevent inconsistent decisions, and to encourage reliance on adjudication." *Kruckenberg v. Harvey*, 2005 WI 43, ¶ 20, 279 Wis. 2d 520, 694 N.W.2d 879. A copy of the state court foreclosure judgment was attached to Planet Home Lending, LLC's proof of claim number 1 and is incorporated herein by reference as Exhibit C.
4. The plaintiff's claims are barred by the Rooker-Feldman doctrine, which prohibits "state-court losers complaining of injuries caused by state-court judgments" from inviting federal court review and rejection of such judgments. *Exxon Mobil Corp. v. Saudi Basic Indus. Corp.*, 544 U.S. 280, 284 (2005). The Honorable G. Michael Halfenger issued a Decision and Order dismissing the plaintiff's previous adversary proceeding based upon the Rooker-Feldman doctrine and lack of jurisdiction. *Vongermeten v. Clauss (In re Vongermeten)*, Case No. 20-25056-gmh (Bankr. E.D. Wis. Jan. 5, 2021).

WHEREFORE, the defendants request that the Complaint be dismissed in its entirety and with prejudice, and request that the Court bar the plaintiff from filing future adversary complaints against the defendants.

Dated: April 8, 2022

Respectfully submitted,

/s/ Christopher C. Drout

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UNITED STATES BANKRUPTCY COURT
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In re: Dean Richard Vongermeten Debtor.	Case No. 21-25409-rmb Chapter 13

Dean Richard Vongermeten, Plaintiff, v. Suzy Lindblom COO, Terry Smith CEO, Alejandro Hoyos, Trustee, Christopher Drout, Mark Clauss, Michael Dimand, William Patacsil, Defendants.	Adversary Case No. 22-02024-rmb

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Brief in Support of Motion to Dismiss Adversary Complaint

INTRODUCTION

Plaintiff, Dean Richard Vongermeten, continues to assert frivolous and bad-faith claims that have been denied in cases conducted in the Wisconsin Circuit Court for Racine County, the U.S. District Court for the Eastern District of Wisconsin, the U.S. Court of Appeals for the Seventh Circuit, and the Eastern District Bankruptcy Court of Wisconsin. Plaintiff's "claims" fail to state a claim for which relief can be granted and are barred by binding precedent, the doctrines of res judicata, claim preclusion and the Rooker-Feldman doctrine. Plaintiff's claims fail as a matter of law and should be dismissed with prejudice pursuant to Federal Rule of Civil Procedure 12(b)(6), incorporated into Federal Bankruptcy Rule 7012.

I. BACKGROUND

On October 31, 2011, Plaintiff borrowed $30,000.00 from Flagstar Bank, FSB, its successors and assigns. In exchange for the funds, Plaintiff executed a Note and Mortgage pledging real property located at 1921 Thurston Ave., Racine, Wisconsin (the "Property") as security for the debt. Thereafter,

Plaintiff was notified by both Flagstar Bank, FSB and Planet Home Lending, LLC ("Planet") that the loan was assigned to Planet in February 2016.

Plaintiff filed a civil case against Planet in the U.S. District Court for the Eastern District of Wisconsin, which was dismissed with prejudice on July 2, 2019. *Von Germeten v. Planet Home Lending, LLC*, No. 17-cv-167-pp, 2019 WL 2234577 (E.D. Wis. July 2, 2019). Plaintiff's civil case appeared to demand that the mortgage somehow be released. Plaintiff was ultimately barred from filing in that Court for his frivolous and continued paper assault, even after having been admonished several times. Attached hereto and incorporated by reference as Exhibit A is a copy of the Dismissal Order.

Plaintiff continued his frivolous and harassing tactics on appeal to the United States Court of Appeals for the Seventh Circuit. The Seventh Circuit also found his filings to be frivolous, admonished him from continued action, and ultimately upheld the District Court's dismissal with prejudice. *See Dean von Germeten v. Planet Home Lending, LLC*, No. 19-2459 (7th Cir. Nov. 20, 2019 and Jan. 10, 2020). Attached hereto and incorporated by reference as Exhibit B are copies of one of the admonitions and the affirmance order.

Planet initiated a foreclosure action on October 4, 2019, in Racine County Circuit Court Case No. 19-CV-001616 against Plaintiff to enforce a default with respect to the note and mortgage securing the Property. A foreclosure judgment was entered on February 14, 2020, in favor of Planet. A copy of the Findings of Fact, Conclusions of Law and Judgment is attached to Planet's proof of claim number 1 and is attached hereto and incorporated by reference as Exhibit C.

Plaintiff continued to file frivolous documents in State Court. After the State Court reviewed the same arguments and provided him the opportunity to be heard, his claims were again deemed frivolous. He was admonished, and yet he continued to file more documentation that was deemed to "consist entirely of nonsense," prompting the State Court to sanction him by barring future filings in the case. Attached hereto and incorporated by reference as Exhibit D are copies of the State Court Orders.

Plaintiff also filed a Chapter 13 bankruptcy case on July 22, 2020, which was dismissed on March 12, 2021. [Case No. 20-25056-gmh, ECF Doc. No. 120]. During that bankruptcy case, the debtor commenced an adversary proceeding against the defendants alleging the same or similar claims

as alleged in this adversary proceeding, which was dismissed based upon the Rooker-Feldman doctrine and lack of jurisdiction. *Vongermeten v. Clauss (In re Vongermeten)*, Case No. 20-25056-gmh (Bankr. E.D. Wis. Jan. 5, 2021).

Now, despite having been repeatedly admonished in every forum, Plaintiff continues to attempt to relitigate these patently frivolous arguments in his bankruptcy case through this adversary proceeding. He continues to harass parties involved in the court actions by naming them as defendants in this adversary proceeding, more specifically, the attorneys that represent Planet and an individual that was employed by Planet. The plaintiff has now filed this adversary proceeding against the defendants, and, as three previous courts have decided, Plaintiff's claims are baseless and must be dismissed with prejudice. The defendants further request that the Court bar the plaintiff from filing future adversary complaints against the defendants under Bankruptcy Rule 9011(c)(1)(B).

II. STANDARD OF REVIEW

A motion to dismiss under Federal Rule of Civil Procedure 12(b)(6) challenges the sufficiency of the complaint to state a claim upon which relief can be granted, and is applicable in bankruptcy proceedings. Fed. R. Bankr. P. 7012(b). When determining a motion to dismiss under Rule 12(b)(6), a court views all of the facts alleged in the complaint, as well as any inferences to be reasonably drawn from them, in the light most favorable to the plaintiff. *See Village of Rosemont v. Jaffe*, 482 F.3d 926, 936 (7th Cir. 2007). "Notice" pleading requires only that the complaint contain a short and plain statement of the claim showing that the pleader is entitled to relief. *See* Fed. R. Bankr. P. 7008. Nonetheless, a complaint must include "enough facts to state a claim for relief that is plausible on its face," and must provide "more than labels and conclusions" because a "formulaic recitation of the elements of a cause of action will not do." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 555 (2007).

The Supreme Court has held that to survive a motion to dismiss, a plaintiff must plead "sufficient factual matter . . . 'to state a claim to relief that is plausible on its face.'" *Ashcroft v. Iqbal*, 556 U.S. 662, 677-78 (2009) (quoting *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). A complaint does not "suffice if it tenders naked assertions devoid of further factual enhancement." *Id.* "[W]here the well-pleaded facts do not permit the court to infer more than the mere possibility of

misconduct, the complaint has alleged—but it has not 'show[n]'—'that the pleader is entitled to relief.'" *Id.* at 679. Based on this standard, Plaintiff fails to state a claim against the defendants because the complaint contains mere "naked assertions" of violations of unspecified regulations and provides no supporting factual allegations.

III. ARGUMENT

A. Plaintiff's Claims are Barred by Binding Precedent from the U.S. District Court for the Eastern District of Wisconsin and the U.S. Court of Appeals for the Seventh Circuit.

Plaintiff has been unsuccessful with these alleged claims in four different courts: (1) the Wisconsin Circuit Court for Racine County; (2) the U.S. District Court for the Eastern District of Wisconsin; (3) the U.S. Court of Appeals for the Seventh Circuit; and (4) the Eastern District Bankruptcy Court of Wisconsin. Again, the plaintiff seeks to collaterally attack the State Court, Federal Court, Appellate Court and Bankruptcy Court orders through this adversary proceeding. As other bankruptcy courts have observed, "[n]othing in the history or structure of the Bankruptcy Code suggests that Congress ever intended the code as simply providing an alternative federal forum for the resolution of state law claims, let alone serving as a forum of last resort when a litigant had been unsuccessful in other courts." *In re Sawyer*, No. 07-10252, 2007 WL 1725621, at *7 (Bankr. E.D. Va. June 13, 2007).

This Court should be bound by the precedential authority of the Seventh Circuit Court of Appeals, which affirmed the dismissal with prejudice order of the U.S. District Court for the Eastern District of Wisconsin with respect to the plaintiff's claims. *Miller v. United States*, 868 F.2d 236, 241 (7th Cir. 1989); *see also U.S. ex rel. Shore v. O'Leary*, 833 F.2d 663, 667 (7th Cir. 1987). Consequently, this Court must follow the precedential authority of the Seventh Circuit and dismiss this adversary proceeding with prejudice.

B. Plaintiff's Claims are Barred by the Application of the Rooker-Feldman Doctrine.

The Rooker-Feldman doctrine is jurisdictional in nature; its applicability must be determined before any other affirmative defense, including claim preclusion. *Long v. Shorebank Dev. Corp.*, 182 F.3d 548, 554-55 (7th Cir. 1999) (citing *Gary v. Geils*, 82 F.3d 1362, 1365 (7th Cir. 1996)). Under this doctrine, "lower federal courts do not have subject matter jurisdiction over claims seeking review of state court

judgments." *Id.* at 554. The doctrine applies both to claims actually raised before the state court and to claims that are "inextricably intertwined with state court determinations." *Id.*

As its name implies, the Rooker-Feldman doctrine had its genesis in two landmark decisions. In *Rooker v. Fidelity Trust Co.*, 263 U.S. 413 (1923), the U.S. Supreme Court held that federal district courts are empowered to exercise only original, and not appellate, jurisdiction, and that Congress had empowered the Supreme Court alone to exercise appellate authority to reverse or modify a state court judgment. Therefore, U.S. district courts lack jurisdiction over suits seeking reversal or modification of state court judgments.

Similarly, in *District of Columbia Court of Appeals v. Feldman*, 460 U.S. 462 (1983), the Supreme Court referred to its *Rooker* decision when holding that a federal district court lacked subject matter jurisdiction to review a final determination of a state court, because 28 U.S.C. § 1257 vests authority to review a state court's judgment solely in the U.S. Supreme Court.

[Argument C (claim preclusion under Wisconsin law) is omitted from this transcription.]

D. Plaintiff's Claims against Mark Clauss and Christopher Drout are barred by Wisconsin's Litigation Privilege.

Plaintiff names Planet's attorneys, Mark Clauss and Christopher Drout, as defendants in this action. The attorneys signed the foreclosure complaint in Racine County Circuit Court and the Notice of Appearance and Proof of Claim in the bankruptcy case. Statements made by attorneys prosecuting the foreclosure action are protected by Wisconsin's litigation privilege. Actions taken by attorneys in the adversarial setting of litigation are precluded by the litigation privilege as forming a basis for further litigation. *See Probst v. Ashcroft*, 25 F. App'x 469, 471 (7th Cir. 2001), and *Stiffs v. Stephan Co.*, 144 F.3d 1070, 1074 (7th Cir. 1998) (federal courts look to state law for applicability). As the Wisconsin Supreme Court has explained and consistently held:

> [P]arties and counsel are immune from liability for relevant statements in pleadings and otherwise in the course of judicial proceedings. This absolute privilege as to statements made during judicial proceedings has been summarized to be: Parties to judicial proceedings are absolutely exempt from responsibility for libel on the ground of privilege for any defamatory matter published in

the course of judicial proceedings, subject to the possible qualification that such defamatory matter is pertinent or relevant to the case. *See Bergman v. Hupy*, 64 Wis. 2d 747, 750 (1974) and *State v. Cardenas-Hernandez*, 219 Wis. 2d 516, 537 (1998).

The plaintiff is merely using the bankruptcy system and this adversary proceeding to further harass Planet's attorneys. Accordingly, the plaintiff is barred from bringing this action against the attorneys representing Planet Home Lending, LLC.

E. The Court Must Impose Sanctions Under Bankruptcy Rule 9011(c)(1)(B).

The plaintiff's claims are being presented for improper purposes, such as harassment, unnecessary delay, and the increased cost of litigation. The plaintiff's allegations and factual contentions lack any evidentiary support. Furthermore, the plaintiff's claims and legal contentions are not warranted by existing law or nonfrivolous argument. Pursuant to Federal Bankruptcy Rule 9011(c)(1)(B), the court, on its own initiative, may impose a sanction against the plaintiff sufficient to deter repetition of such frivolous conduct. It is apparent that mere dismissal of this adversary proceeding will not deter the plaintiff from filing future frivolous actions. The court must issue an order barring the plaintiff from filing future adversary proceedings against the defendants.

CONCLUSION

For the foregoing reasons, Plaintiff's Complaint must be dismissed in its entirety and with prejudice, and the Court should bar the plaintiff from filing future adversary proceedings against the defendants.

Dated: April 8, 2022

Respectfully submitted,

/s/ Christopher C. Drout

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Certificate of Service

I hereby certify that on April 8, 2022 the Motion of Mark Clauss, Christopher Drout and Suzy Lindblom to Dismiss Adversary Complaint and the Brief in Support of Motion to Dismiss Adversary Complaint were electronically filed in this case and served upon the following parties using the CM/ECF system:

Eastern District U.S. Trustee

I further certify that on the same date I mailed the same document(s) by United States Mail to the following non-ECF participants:

Dean Richard Vongermeten

1921 Thurston Avenue
Racine, WI 53403

Dated: April 8, 2022

/s/ Christopher C. Drout

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